

FinVista Capital

Enterprise Risk Assessment Framework — Version 3.1

1. Risk Governance Structure

FinVista Capital operates a Three Lines of Defence model for risk management. The First Line comprises all business units and investment teams responsible for day-to-day risk management within approved limits. The Second Line consists of the Risk Management Department, Compliance Department, and Finance. The Third Line is Internal Audit, which independently assesses the effectiveness of the first two lines.

2. Risk Appetite Statement

FinVista Capital accepts moderate market risk in pursuit of investment returns above benchmarks but maintains low tolerance for operational, reputational, and compliance risk. Specifically: the firm targets risk-adjusted returns with a minimum Sharpe Ratio of 0.80 over rolling 3-year periods; accepts annual portfolio drawdowns of up to 15%; and maintains zero tolerance for regulatory sanctions, significant data breaches, or material misstatements in financial reporting.

3. Risk Register — Top Enterprise Risks 2024

Risk ID	Risk Description	Category	Inherent Risk	Controls	Residual Risk
ER-01	Market crash reducing AUM >20%	Market	High (4x4)	Diversification, hedging, stress testing	Medium (4x2)
ER-02	Cybersecurity breach / data theft	Operational	High (5x5)	SOC 24/7, pen testing, MFA, DLP	Medium (5x2)
ER-03	Key person dependency (CIO departure)	Operational	High (3x4)	Succession planning, KP insurance	Low (3x1)
ER-04	Regulatory action / license revocation	Compliance	Medium (3x4)	Compliance program, monitoring	Low (3x1)
ER-05	Counterparty default (Lehman scenario)	Credit	High (4x5)	Credit limits, collateral, CDS	Medium (4x2)
ER-06	Model risk (quant model failure)	Operational	Medium (3x3)	Model validation, independent testing	Low (3x1)
ER-07	ESG greenwashing allegations	Reputational	Medium (3x3)	ESG audit, third-party verification	Low (3x1)
ER-08	Liquidity mismatch / redemption crisis	Liquidity	Medium (2x4)	Liquidity buffers, gates, stress testing	Low (2x1)
ER-09	Technology vendor failure (AWS/cloud)	Operational	Low (2x3)	Multi-cloud, BCP/DR, SLAs	Low (2x1)
ER-10	FX risk in multi-currency portfolios	Market	Medium (3x3)	FX hedging program, overlay strategy	Low (3x1)

4. Stress Testing Programme

FinVista conducts quarterly stress tests against six prescribed scenarios and ad hoc scenarios as market conditions require. All results are reported to the Risk Committee within 5 business days of scenario run.

Scenario	Market Shock	Estimated Portfolio Impact	Frequency
2008 GFC Replay	Equities -40%, Credit spreads +300bps	-18.4% portfolio	Quarterly
COVID-19 (Mar 2020)	Equities -34%, Volatility spike to 80	-15.2% portfolio	Quarterly
Rate Shock +300bps	10yr yield to 7.2%, bond prices -25%	-9.8% portfolio	Quarterly
China Hard Landing	EM equities -30%, commodities -20%	-12.1% portfolio	Quarterly
USD Collapse -25%	USD weakens vs major currencies	-4.2% portfolio	Quarterly
AI Bubble Burst	Tech sector -50%, NASDAQ -40%	-16.7% portfolio	Quarterly

5. Business Continuity Plan (BCP)

The Recovery Time Objective (RTO) for all critical systems is 4 hours. The Recovery Point Objective (RPO) is 1 hour for trading systems and 24 hours for non-trading systems. Annual BCP tests are conducted in Q2 each year with full DR failover to the backup data center in Chicago. All staff maintain home-working capability tested semi-annually. Crisis communication procedures are documented in the Crisis Management Playbook (CMP-2024).